

Rain Prediction Markets — Launch Plan review

Three issues: market-making economics, the competitor fee comparison, and the downside cases. It also applies the fee rule agreed afterwards: a dynamic fee peaking at 2.5%. The \$900K monthly operating cost is unchanged throughout. All changes were made in a separate copy of the model; the live plan and its baseline are untouched. 2 October 2026.

1 · Assessment

Finding	Status	Effect
Polymarket shown as charging "0.03-0.07%". These are fee <i>coefficients</i> in $\text{fee} = \text{shares} \times \text{rate} \times p \times (1-p)$; the sports rate is now 0.05 (raised from 0.03 on 10 Jul 2026), i.e. 2.5% of the cash paid at a 50¢ price.	Verified error	Slide 4 benchmark rebuilt
Kalshi "≈2.2% all-in" added the taker fee (1.75% of payout) to the maker fee (0.44%), which two different parties pay, and used payout rather than cash paid as the denominator.	Verified error	Slide 4 rebuilt
"Kalshi blended ≈1.1%" and "Polymarket ≈0.8-1% all-in" divided estimated annualised revenue (press/analyst, not disclosed results) by volume of unconfirmed definition (contracts vs cash, one side vs both; Polymarket dashboards double-counted volume until Dec 2025).	Unsupported	Removed from slides 3-4
Sportsbook hold (share of stakes kept), Betfair commission (share of net winnings) and transaction fees were ranked on one scale.	Verified error	Moved to a separate, explained note
Market making applied to 100% of platform volume: the desk was implicitly the counterparty to every trade.	Verified error	Participation now explicit (85% / 70% / 55%)
"Spread capture" was undefined: 0.80% revenue with a separate 0.25% "risk" cost.	Redefined	Revenue = realised spread (gross edge minus adverse selection, inventory revaluation and settlement outcome); hedging is a separate cost
Regulatory duty and infrastructure were charged on market-making income as if it were commission.	Corrected	Duty on fees only; +\$0.45M Y3 EBITDA
Float set at 5% of monthly volume with yield on all of it.	Re-specified	Sized by settlement time, net exposure and a correlated-event buffer; yield only on capital not in positions. M36 float \$12.9M → \$6.2M
"The plan stays profitable in every downside" and "≈\$3M covers every case" (the table itself showed a \$3.2M gap).	Verified error	Slide 10 rewritten with exact requirements
Rain's fee was modelled as a flat 1.2% (sports) / 1.5% (quick trades), an average of 1.32%, below the intended dynamic fee with a 2.5% maximum.	Corrected	Fee on the competitor curve, $0.05 \times p \times (1-p)$: 2.5% of cash at 50¢, average 1.97% on 10-90¢ prices

Finding	Status	Effect
Price mix of trades (sets the curve's average) and whether traders trade less at the higher fee.	Assumption to validate	Average fee and volume per trader measured from month 1
Gross edge 1.0% / 0.9%, adverse selection 0.45% / 0.40%, desk participation 85% → 55%, settlement times, net-exposure ratio.	Assumption to validate	Evidence plan in section 3

Bottom line. Correcting market making alone lowers year-3 EBITDA from \$18.8M to \$11.9M. Applying the intended fee curve lifts it to **\$28.8M**, with breakeven in **Nov-27** (was Feb-28) and a peak funding need of **\$12.4M** against \$20M raised. Market making falls to 27% of year-3 EBITDA, so the plan no longer depends mainly on desk performance. Every single and combined downside tested stays within the \$20M; the remaining shortfalls come only from rounds arriving late.

2 • Competitor fees, verified

Definitions. Each venue trades binary contracts paying \$1. *Cash paid* = price × contracts. Fees below are for the same trade: buying 100 contracts as a taker (or resting as a maker where stated), entry only, before any bid-ask spread. Round trip = buying and later selling 100 contracts at the same price (two taker fees). Positions held to settlement pay no settlement fee on either venue.

Venue and market	Side	At 10¢ (\$10 paid)	At 50¢ (\$50 paid)	At 90¢ (\$90 paid)	Round trip, %
					of cash 10¢ / 50¢ / 90¢
Polymarket — sports feeRate 0.05 since 10 Jul 2026; makers pay nothing; 15% of fees rebated to makers	taker	\$0.45 4.50% of cash · 0.45% of payout	\$1.25 2.50% of cash · 1.25% of payout	\$0.45 0.50% of cash · 0.45% of payout	9.0% / 5.0% / 1.0%
Polymarket — crypto incl. 5-/15-minute feeRate 0.07 (Fee Structure V2, 30 Mar 2026); 20% rebated to makers	taker	\$0.63 6.30% of cash · 0.63% of payout	\$1.75 3.50% of cash · 1.75% of payout	\$0.63 0.70% of cash · 0.63% of payout	12.6% / 7.0% / 1.4%
Kalshi — standard taker 0.07 × C × P × (1-P), rounded up; schedule effective 7 Jul 2026	taker	\$0.63 6.30% of cash · 0.63% of payout	\$1.75 3.50% of cash · 1.75% of payout	\$0.63 0.70% of cash · 0.63% of payout	12.6% / 7.0% / 1.4%
Kalshi — maker, where listed 0.0175 coefficient; default multiplier 0, listed sports series carry 1	maker	\$0.16 1.57% of cash · 0.16% of payout	\$0.44 0.88% of cash · 0.44% of payout	\$0.16 0.18% of cash · 0.16% of payout	3.1% / 1.8% / 0.4%
Rain — sports and quick trades (revised) 0.05 × C × p × (1-p): 2.5% of cash at 50¢; average ≈1.97% across 10-90¢ prices	taker	\$0.45 4.50% of cash · 0.45% of payout	\$1.25 2.50% of cash · 1.25% of payout	\$0.45 0.50% of cash · 0.45% of payout	9.0% / 5.0% / 1.0%
Rain — previous plan (flat) flat 1.2% sports / 1.5% quick, average 1.32% — replaced	taker	\$0.12 1.20% of cash · 0.12% of payout	\$0.60 1.20% of cash · 0.60% of payout	\$1.08 1.20% of cash · 1.08% of payout	2.4% / 2.4% / 2.4%

Spread is separate from fees. Crossing a 1-cent quoted spread costs half a cent per contract against the mid: 5.00% of cash at 10¢, 1.00% of cash at 50¢, 0.56% of cash at 90¢. Rain's desk earns part of that half-spread; it is income for Rain's desk, not a fee, and it is not included in Rain's fee line.

Customer cost vs platform take. Polymarket returns 15% (sports) to 20% (crypto) of taker fees to makers, so its retained take is 80-85% of the fees above, on taker volume only. Kalshi's schedule lists no rebate. Rain's planned fee is its customer fee; its desk's realised spread is shown separately in section 3.

What the comparison shows. On the revised curve Rain's fee equals Polymarket's sports fee at every price and is 29% below Kalshi's standard taker fee at every price (0.05 vs 0.07 coefficient); for quick trades it is also 29% below Polymarket's crypto rate. The previous flat 1.2% was cheaper at mid prices but more expensive than both competitors on favourites above roughly 76–83¢. The curve average of 1.97% assumes trades spread evenly across 10–90¢; the live price mix will set the real average.

Other benchmarks use different denominators and are not ranked against the above: US sportsbooks keep about 10–12% of stakes (gross gaming revenue ÷ handle, 2025–26); Betfair charges 5% of a customer's net winnings per market. Both are context for what sports bettors already pay, not like-for-like fees.

Revenue-to-volume ratios for Kalshi (~\$4B annualised) and Polymarket (~\$1B annualised) rest on press and analyst estimates of run-rate revenue, not disclosed results, and volume definitions differ (contract payout vs cash paid; one side vs both). They are no longer used to justify Rain's take.

3 · Market-making economics

Definitions used in the revised model. *Platform volume* = cash paid by customers as takers, counted once. *Desk turnover* = the desk's side of the trades where it is the resting counterparty = platform volume × participation; it is never added to platform volume. *Gross edge* = effective half-spread the desk receives against the mid. *Realised spread* = gross edge minus adverse selection, inventory revaluation and settlement outcomes (measured as mark-outs to settlement); this is the desk's trading revenue, so losses are not counted twice. *Hedging and external execution* (offsetting quick-trade crypto exposure on outside venues) is a separate cost. The desk only rests orders, so it pays no taker fees; any internal fees would be eliminated in consolidation and none are recognised as revenue.

Assumption	Original	Revised	Basis / to validate
Desk participation (share of platform volume)	100% (implicit)	85% proof · 70% build · 55% scale	Launch venue with few outside makers; falls as customers and third parties post liquidity
Gross edge, % of desk turnover	0.80% (of all volume)	1.00% sports · 0.90% quick	Half of a ~2¢ spread around 50¢; live quoted and effective spreads
Adverse selection, inventory, settlement	0.25% (of all volume)	0.45% sports · 0.40% quick	~45% of edge lost to informed and in-play flow; live mark-outs
Hedging and external execution	none	0 sports · 0.05% quick	Offsetting crypto exposure on spot/perpetual venues
Net to desk, % of desk turnover	0.55%	0.55% sports · 0.45% quick	
Net, % of platform volume (year 3)	0.55%	0.28%	
Capital (float)	max(\$100K, 5% of monthly volume); yield on all	Net open inventory (turnover × settlement days ÷ 30 × 35%) + 2× buffer for correlated events; yield only on the buffer	Settlement 2 days sports, 0.1 day quick; live inventory and drawdown data

Bridge from the published plan to the revised base (reconciled to the model)

Step	Y3 revenue	Y3 EBITDA	Y3 Breakeven	Peak funding	Min. cash	MM net Y3
0 · Live baseline (as published)	\$59.4M \$52.5M net of MM losses	\$18.8M	Feb-28	\$19.2M	\$118K	\$15.3M 0.55% of volume
1 · Duty and infrastructure charged on the correct base	\$52.5M	\$19.2M	Feb-28	\$19.0M	\$119K	\$15.3M 0.55% of volume
2 · Desk participation explicit (85% / 70% / 55%)	\$45.6M	\$12.7M	May-28	\$22.5M	-\$2.5M	\$8.4M 0.30% of volume
3 · Edge re-specified as realised spread (1.0%/0.9% gross, 0.45%/0.40% adverse, 0.05% hedging on quick trades)	\$45.3M	\$12.1M	May-28	\$22.9M	-\$2.9M	\$7.8M 0.28% of volume
4 · Float sized by settlement time and exposure; yield only on unencumbered capital	\$45.0M	\$11.9M	May-28	\$18.4M	\$117K	\$7.8M 0.28% of volume
5 · Fee on the competitor curve, 2.5% of cash at 50¢ (average 1.97%) (= revised base)	\$63.0M	\$28.8M	Nov-27	\$12.4M	\$128K	\$7.8M 0.28% of volume

Steps 2-4 are the market-making corrections: year-3 revenue under the new definition falls to \$45.0M, of which \$7.0M is presentational (trading losses now net against market-making revenue). Steps 2-3 alone would leave a \$2.9M gap; step 4 closes it by releasing capital the old float held without need. Step 5 applies the fee curve: fee income rises from \$36.8M to \$54.8M in year 3, at unchanged trading volume.

Market-making sensitivity (revised base, \$20M funding)

Case	Y3 revenue	Y3 EBITDA	EBITDA breakeven	Min. operating cash	Peak external funding	First shortfall	MM capital M36 tied / releasable
Revised base	\$63.0M	\$28.8M	Nov-27	\$128K Jan-27	\$12.4M	none	\$2.1M / \$4.1M
Net market-making return halved (adverse selection up)	\$59.1M	\$25.1M	Dec-27	\$124K Jan-27	\$13.3M	none	\$2.1M / \$4.1M
Zero net market-making profit	\$55.2M	\$21.4M	Jan-28	\$120K Jan-27	\$14.4M	none	\$2.1M / \$4.1M
Discrete trading loss of \$1.5M in Dec-27 (cash low point)	\$63.0M	\$28.8M	Jan-28	\$128K Jan-27	\$13.9M	none	\$2.1M / \$4.1M
Discrete trading loss of \$1.5M in Jan-27 (before Round A)	\$63.0M	\$28.8M	Nov-27	-\$1.4M Jan-27	\$13.9M	Jan-27 bridge \$1.4M	\$2.1M / \$4.1M

Halving the net return costs \$3.7M of year-3 EBITDA; at zero net return year-3 EBITDA is still \$21.4M and peak funding \$14.4M. Neither opens a funding gap. A one-off \$1.5M desk loss is absorbed after Round B but causes a \$1.4M shortfall if it lands before Round A, when cash is at its lowest: the desk's limits must be tightest in the proof phase.

Evidence the base case needs from the live desk (first 90 days)

- Participation: share of platform volume filled against the desk, by market type and month.

- Gross edge: effective half-spread captured per \$ of desk turnover, by price band (10¢/50¢/90¢) and segment.
- Mark-outs at 1 minute, 1 hour and settlement: realised spread after adverse selection; in-play sports reported separately.
- Inventory: average and peak net exposure, time to settlement, largest single-event and single-weekend exposure.
- Hedging costs and slippage on quick-trade markets; desk P&L drawdown and its worst day.

Base case is supported if, by month 3, realised spread after settlement is at least 0.45% of desk turnover across segments, participation is within 10 points of plan, and the worst single-day desk loss is under 5% of the float.

4 • Downside cases

All cases run on the revised base with \$3M now, \$5M in Feb-27 and \$12M in Jun-27. *Minimum operating cash* excludes market-making capital. *Peak external funding* is the most cumulative cash the plan consumes. *MM capital*: tied = capital in open positions; releasable = buffer not in positions, which can be withdrawn within days at the cost of desk capacity.

Single shocks

Case	Y3 revenue	Y3 EBITDA	EBITDA breakeven	Min. operating cash	Peak external funding	First shortfall	MM capital M36 tied / releasable
Revised base	\$63.0M	\$28.8M	Nov-27	\$128K Jan-27	\$12.4M	none	\$2.1M / \$4.1M
Acquisition cost +30%	\$48.5M	\$16.3M	Mar-28	\$119K Jan-27	\$15.4M	none	\$1.6M / \$3.2M
Volume per trader –15%	\$53.6M	\$20.4M	Feb-28	\$122K Jan-27	\$14.2M	none	\$1.7M / \$3.5M
Faster churn (first month 40% vs 32%)	\$50.7M	\$18.1M	Jan-28	\$127K Jan-27	\$13.5M	none	\$1.6M / \$3.3M
Market-making return halved	\$59.1M	\$25.1M	Dec-27	\$124K Jan-27	\$13.3M	none	\$2.1M / \$4.1M

Combined downside

Acquisition cost +20%, volume per trader –10%, first-month churn 37% (vs 32%), adverse selection +0.15 points. These move together when marketing scales into lower-intent audiences, so each is set at about two-thirds of its single-shock size. Market-making revenue already falls with lower volume and fewer traders, so desk participation is not cut a second time.

Case	Y3 revenue	Y3 EBITDA	EBITDA breakeven	Min. operating cash	Peak external funding	First shortfall	MM capital M36 tied / releasable
Combined downside, no response	\$39.7M	\$8.5M	Jul-28	\$116K Jan-27	\$18.2M	none	\$1.3M / \$2.7M
Combined downside + response from Apr-28: marketing –40%, desk participation 55% → 37%	\$26.6M	\$3.1M	Jun-28	\$116K Jan-27	\$17.4M	none	\$595K / \$1.2M

The combined downside stays funded: year-3 EBITDA \$8.5M, breakeven Jul-28, peak funding \$18.2M, leaving \$1.8M of the \$20M unused. The response tested (from Apr-28, marketing –40% and desk participation cut by a third) lowers peak funding by only \$801K while costing \$13.1M of year-3 revenue and \$5.3M of EBITDA. With a fixed \$900K monthly cost base and cohorts that pay back in about 7 months, cutting acquisition gives up more than it saves; it is not recommended unless funding is actually short.

Funding delayed or unavailable

Case	Y3 revenue	Y3 EBITDA	EBITDA breakeven	Min. operating cash	Peak external funding	First shortfall	MM capital M36 tied / releasable
Round A one month late (Mar-27)	\$62.7M	\$28.5M	Dec-27	–\$785K Feb-27	\$12.7M	Feb-27 bridge \$785K	\$2.0M / \$4.1M
Round A two months late (Apr-27)	\$62.5M	\$28.3M	Dec-27	–\$1.7M Mar-27	\$13.0M	Feb-27 bridge \$1.7M	\$2.0M / \$4.1M
Round B two months late (Aug-27)	\$61.4M	\$27.4M	Jan-28	–\$833K Jul-27	\$13.1M	Jul-27 bridge \$833K	\$2.0M / \$4.0M
Round B three months late (Sep-27)	\$60.7M	\$26.7M	Jan-28	–\$1.6M Aug-27	\$13.4M	Jul-27 bridge \$1.6M	\$2.0M / \$4.0M
Round B unavailable, no response	\$63.0M	\$28.8M	Nov-27	–\$4.4M Dec-27	\$12.4M	Jun-27 bridge \$4.4M	\$2.1M / \$4.1M
Round B unavailable + response: marketing cut to \$50K from Jun-27, desk participation 30%	\$3.5M	–\$8.5M	not in plan	–\$19.3M Oct-29	\$27.3M	Aug-27 bridge \$19.3M	\$61K / \$122K

The \$3M lasts to Jan-27, with cash at \$128K just before Round A. A one-month slip in Round A needs a \$785K bridge from Feb-27; two months, \$1.7M. A two- to three-month slip in Round B needs \$833K to \$1.6M from Jul-27. If Round B never arrives, the business needs \$4.4M from Jun-27 (lowest point Dec-27) and then funds itself, so a \$12M Round B is larger than the base case requires. Cutting marketing to \$50K instead makes things far worse, because it removes the revenue that covers the cost base.

Funding requirement, precisely. Base-case peak need is \$12.4M. The worst single shock (acquisition cost +30%) needs \$15.4M and the combined downside \$18.2M, both within the \$20M, leaving \$4.6M and \$1.8M unused. The exposure is timing: Round A slipping two months needs \$1.7M, or \$2.6M with one month's fixed costs held as an operating buffer. A standby facility of about \$2.6M covers that case, the two-month Round A slip with buffer, and a three-month Round B slip (\$1.6M).

5 • Replacement wording

SLIDE 2 • SUMMARY, THIRD PARAGRAPH

Rain earns a trading fee on every customer trade, and its own market-making desk earns a spread on the share of trades where it provides the liquidity: about 85% at launch, falling to 55% as other liquidity arrives. In year 3, fees are \$54.8M and the desk's realised spread, after adverse selection, \$8.1M.

SLIDE 2 • KPI TILES

Year-3 revenue \$63.0M • EBITDA breakeven Nov-27 • total funding \$20M, peak need \$12.4M

SLIDE 3 · HEADLINE

Prediction markets are now a sports business, and the leading venues charge takers 2.5–3.5% of the cash paid on an even-money trade

SLIDE 3 · STAT TILES

~\$4B: Kalshi annualised revenue, July 2026 (press estimate) · ~80% of Kalshi's fee-generating volume from sports (analyst estimate, June 2026) · ~\$1B: Polymarket annualised revenue, June 2026 (press estimate); sports its largest category

SLIDE 4 · HEADLINE

Rain charges a trading fee on customer trades and earns a spread where its own desk provides the liquidity

SLIDE 4 · BODY

Customer fee: a dynamic taker fee of $0.05 \times p \times (1-p)$ per contract, the same curve as Polymarket's sports fee and 29% below Kalshi's: 2.5% of the cash paid at 50¢, 0.5% at 90¢, 4.5% at 10¢; makers pay no fee. On a 100-contract buy at 50¢ that is \$1.25, against \$1.25 on Polymarket sports and \$1.75 on Kalshi. Desk income: Rain's desk is the resting counterparty on an assumed 85% of volume at launch and 55% at scale. It keeps the realised spread, about 0.55% of its turnover in sports and 0.45% in quick trades after adverse selection, inventory and hedging: 0.28% of platform volume in year 3. Desk capital is sized to open positions plus a buffer for correlated events (\$6.2M by Oct-29), separate from customer funds.

SLIDE 4 · FOOTNOTE

Sportsbook hold (≈ 10 –12% of stakes) and Betfair commission (5% of net winnings) use different denominators and are shown for context only. Sources: Polymarket fee and maker-rebate documentation (rates effective 30 Mar and 10 Jul 2026); Kalshi fee schedule effective 7 Jul 2026.

SLIDE 10 · HEADLINE

Every downside tested, single and combined, keeps year-3 EBITDA positive within the \$20M raised; the remaining risk is the timing of the rounds

SLIDE 10 · CALLOUT

The base case needs \$12.4M of the \$20M. In the cases tested, the largest need is \$18.2M (acquisition cost +20%, volume –10%, weaker retention and weaker desk results together), with breakeven in Jul-28. Shortfalls arise only if rounds are late: about \$785K for each month Round A slips, and \$1.6M if Round B slips three months. A standby facility of about \$2.6M covers these. Cutting marketing does not help, because the \$900K monthly cost base continues.

SITE AND SLIDE 2 · REPLACES "RAIN EARNS TWICE ON EVERY TRADE"

Rain earns a fee on every customer trade, plus a spread on the trades where its own desk provides the liquidity.

6 · Change log

	Published plan	Revised base	Change
Revenue, years 1 / 2 / 3	\$9.5M / \$39.9M / \$59.4M	\$10.1M / \$42.3M / \$63.0M	\$3.6M in Y3 (fees +\$18.0M; market making –\$14.4M, of which –\$7.0M presentational)
EBITDA, years 1 / 2 / 3	–\$11.3M / \$4.0M / \$18.8M	–\$9.7M / \$10.7M / \$28.8M	\$10.0M in Y3
Market-making net, year 3	\$15.3M (0.55% of volume)	\$7.8M (0.28%)	–\$7.5M

	Published plan	Revised base	Change
EBITDA breakeven	Feb-28	Nov-27	3 months earlier
Peak funding need	\$19.2M	\$12.4M	-\$6.9M
Minimum operating cash	\$118K (Jan-27)	\$128K (Jan-27)	unchanged
Market-making capital, Oct-29	\$12.9M	\$6.2M (\$2.1M tied, \$4.1M releasable)	-\$6.7M
Cash at end of plan	\$16.8M	\$39.2M	\$22.4M

Sources

- Polymarket, Trading fees (docs.polymarket.com/polymarket-learn/trading/fees), read 2 Oct 2026; Maker Rebates Program (docs.polymarket.com/developers/market-makers/maker-rebates-program); Changelog entries 5 Jan, 12 Feb, 30 Mar and 10 Jul 2026 (docs.polymarket.com/changelog).
- Kalshi, Fee Schedule, effective 7 Jul 2026 (kalshi.com/docs/kalshi-fee-schedule.pdf).
- Paradigm, "Polymarket volume is being double-counted", 8 Dec 2025 (paradigm.xyz).
- Sacra company profiles of Kalshi and Polymarket, 2026 (sacra.com): revenue and volume estimates, not company disclosures. CNBC, 26 Jun 2026, Polymarket annualised revenue (secondary report).
- Casino Reports, US sports betting database, Aug 2026 (sportsbook hold); Betfair Exchange commission terms.